

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,
COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,
RESPONDENT.

JOINT STATUS REPORT

Pursuant to the March 26, 2025 Memorandum Order on Motion for Protective Order, Cease and Desist Remedy and Motions to Compel Second Amended Scheduling Order (“March 26 Order”), Complainant Peloton Interactive, Inc. (“Peloton”) and Respondent Flexport International LLC (“Flexport”) (each a “Party” and collectively the “Parties”) submit this Joint Status Report.

Peloton’s Status Report: Following the March 26 order, Peloton has worked diligently to comply with the Presiding Officer’s guidance by significantly narrowing the contested discovery issues in this case and, in so doing, has reduced the items at issue in its Motion to Compel from 27 (objections to 21 Requests for Production (RFPs) and 6 interrogatory responses) to only 3 remaining RFPs that are directly relevant to Peloton’s claims and supported by deposition testimony: RFP Nos. 4, 5, and 13.

On March 31, 2025, counsel for Peloton internally reviewed each item in both Parties’ motions to compel and created detailed charts to identify remaining issues. Peloton then prepared

a comprehensive letter to Flexport summarizing Peloton’s understanding of the March 26 Order, which was sent to Flexport on April 1, 2025. On April 3, 2025, Peloton engaged in multiple meet-and-confer sessions with Flexport counsel (“April 3 M&Cs”) and addressed the majority of the issues raised in Flexport’s motion to compel. Peloton has agreed to provide a supplement interrogatory response for 16 of the 22 Flexport interrogatories at issue. Peloton provided confirmations requested by Flexport regarding 38 RFPs. While Peloton considers the remaining 6 interrogatories to be overly broad and beyond the scope, it is continuing to consider whether it is possible to amend its responses to address Flexport’s stated concerns.

A. Peloton’s Motion to Compel

Peloton can confirm that the only remaining items at issue from its Motion to Compel are the 3 RFPs identified above (Nos. 4, 5, and 13¹) and receipt of the additional Flexport document production required by the March 26 Order.

RFP No. 4²: There are several categories of documents remaining to be produced under RFP 4, certain of which Flexport counsel has agreed to investigate and produce. However, Peloton has not yet received any additional responsive documents. Examples include:

- **Communications with Underlying Service Providers:** Under the March 26 Order, the Presiding Officer ordered Flexport to produce communications with contractors such as motor carriers, railroads, marine terminal operators, and ocean

¹ Peloton believes that the information responsive to RFPs 7, 9, 11, 15, and 19 should be included in Flexport’s responses to RFP Nos. 4 and 5, 20, 21, and 22.

² RFP No. 4: “Produce all Documents and records in connection with the Peloton Shipments, including all contracts and agreements, service agreements with Ocean Carriers, negotiated service arrangements (NSAs), negotiated rate arrangements (NRAs), freight invoices, bills of lading, waybills, Documents and Container management data, Motor Carrier work orders, Motor Carrier invoices, Motor Carrier bills of lading, linehaul bills of lading, freight invoices, Demurrage and Detention invoices, Marine and Inland Terminal data and records, railroad records, Motor Carrier records, and payment records.”

carriers regarding Peloton shipments from May 2021. During the April 3 M&Cs, Flexport's counsel asserted that all relevant communications had been produced in the original production and no further supplementation would occur. The original production, however, only contained limited communications with all marine terminal operators and ocean carriers from the relevant time period. Flexport's counsel claimed that it had minimal interactions with underlying service providers; however, deposition testimony and the record suggest otherwise.³ Flexport had contracts with carriers, booked shipments, and managed container outgating, demonstrating substantial engagement with service providers. A review of the "Peloton Events Download" from the Flexport Platform reveals that Flexport communicated with service providers and such communications have not yet been produced. For example, in FLEX-1286064, a Flexport employee advised the trucker All Season Transport that "this is good to pick up. Evergreen has sent an email to the terminal to release this container. Please send the driver. I will call the terminal to confirm release." As reflected in Peloton's Third Motion for Extension of the Scheduling Order, Flexport has only produced nine (9) emails for the ocean

³ See, e.g., Deposition Testimony of Flexport's 143(b)(6) Witness:

Discussing mitigating demurrage and detention: "Flexport, to the best of its ability, **would attempt to mitigate the demurrage by reaching out to the master carrier or the marine terminal operator explaining the situation of no available chassis and asking them to waive last free day and if successful**, we would then pass on that to Peloton."

"I can just go back to, I get their frustration. I'm in it with them. **I'm sure we contacted a master carrier or a MTO. We were in constant communication with them.**"

carrier Evergreen. No email communications with All Season Transport have been produced.⁴

- **Shipping Documents:** On March 24, 2025, the parties held a meet and confer where Peloton's counsel stated that Flexport had not produced all house bills of lading, delivery orders, or negotiated rate arrangements. In an email dated March 25, 2025, Flexport's counsel stated that they had inadvertently failed to produce all relevant documents. Peloton has not yet received Flexport's supplemental production.
- **Internal Notes from the Flexport Platform:** Deposition testimony made clear that the Flexport Platform contained internal notes between Flexport employees that discussed Peloton Shipments, and which were relied upon by Flexport employees when preparing Peloton invoices, including invoices for detention and demurrage charges. Despite their availability on the Flexport platform, these internal notes have not been produced.
- **Documentation of changes to detention and demurrage charges on Flexport's platform:** Deposition testimony also established that Flexport automatically calculated detention and demurrage charges within a "charge queue" on its platform and that these charges could only be changed through the use of a "compliance token." Flexport has not produced any underlying metadata, charge queue data, or other relevant documentation created within the Flexport platform.

⁴ Flexport's production includes a spreadsheet titled "Peloton Shipments Motor Carriers" that identifies each trucker that transported a Peloton shipment. The trucker All Season Transport is listed as transporting 107 shipments, but no emails communications have been produced.

In light of the April 3 M&C and March 26 Order, RFP No. 4 remains at issue.⁵ Despite the March 26 Order, Flexport clearly has additional documents in its possession, custody and control responsive to RFP No. 4, which it has, without legitimate justification, failed to produce. If Flexport's supplemental production addresses RFP No. 4, Peloton will file a status report indicating that RFP No. 4 is no longer at issue in Peloton's Motion to Compel.

RFP No. 5⁶: Data related to Peloton shipments is contained within the Flexport Platform. Flexport's previously produced Peloton Events Download lacked shipment information prior to October 2021. In the April 3 M&C, Flexport agreed to supplement its production and provide event details from before October 2021 for invoices issued on or after May 2021. Regarding Peloton shipments invoiced in May 2021, where Flexport arranged cargo movements prior to May 2021 (pre-May 2021 Shipments), Flexport has indicated it will consider producing this data upon confirmation from Peloton of the applicable FLEX-IDs. Peloton has agreed to supply the FLEX-IDs for the pre-May 2021 Shipments. Peloton has not yet received Flexport's supplemental production nor had the opportunity to review it. Consequently, RFP No. 5 remains unresolved. If Flexport's supplemental production addresses RFP No. 5, Peloton will file a status report indicating that RFP No. 5 is no longer at issue in Peloton's Motion to Compel.

RFP No. 13⁷: Peloton is seeking documents related to Flexport's practices, policies, and procedures concerning D&D, including relevant training materials. Deposition testimony confirms

⁵ In accordance with the March 26 Order, Peloton is solely seeking the underlying communications between Flexport and the underlying service providers.

⁶ **RFP No. 5:** "Produce all Documents and data concerning real time tracking information Flexport makes available to customers through online platforms."

⁷ **RFP No. 13:** "Produce all Documents, including policies, standards, guidelines, practices, procedures, internal deliberations, reports, memorandums, presentations, training or analyses related to (1) Flexport's charging of Detention & Demurrage and (2) compliance with the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41102(d), 41104, as amended, including regulations,

that Flexport possesses documents responsive to RFP No. 13.⁸ During the April 3 M&C, Flexport's counsel indicated they would confer with Flexport regarding this request. As of now, Flexport has neither agreed to produce any supplemental documents nor provided them. Consequently, RFP No. 13 remains unresolved. If Peloton receives supplemental production that addresses RFP No. 13, Peloton will file a status report indicating that RFP No. 13 is no longer at issue in Peloton's Motion to Compel.

B. Flexport's Motion to Compel

Flexport raised certain objections to Peloton's interrogatory responses and production of documents in its Motion to Compel. In response to Flexport's objections to Peloton's interrogatory responses, Peloton has agreed to amend its responses as follows:

- **Interrogatory Nos. 1, 5, 7:** Peloton will supplement its interrogatory response.
- **Interrogatory Nos. 8, 9, 10, 11, 16, 17, 19, 20, 21:** Peloton will amend its interrogatory responses to make a general statement addressing the subject of the relevant interrogatory.
- **Interrogatory No. 26:** Peloton will supplement its interrogatory response with applicable Bates ranges of documents in Peloton's possession.
- **Interrogatory No. 23:** Peloton will supplement its interrogatory response by citing to deposition testimony responsive to this interrogatory.
- **Interrogatory 27:** Flexport agreed to withdraw.

interpretive guidance, and adjudicatory decisions relating to Demurrage and Detention in the U.S. from 2018-Present.”

⁸ This testimony discussed the existence of written D&D policies, as well as recordings and training materials from “Flexport Academy” and other employee training that discussed FMC compliance, handling of shipments, detention and demurrage, billing, and invoice review.

Regarding Flexport's motion to compel concerning Peloton's responses to Flexport's RFPs, Flexport clarified that Flexport's objections would be addressed if Peloton counsel confirmed that Peloton is not withholding documents based upon objections stated in the responses to Flexport's requests for production (e.g., overbroad). Peloton's counsel agreed to confirm both items and stated that the documents withheld by Peloton are identified in Peloton's privilege log, which was provided to Flexport. Flexport stated that its remaining objections would be resolved subject to Peloton's amended interrogatory responses, which Flexport counsel represented as yet to be determined.

Based on the above agreements by counsel, the only items still in dispute from Flexport's Motion to Compel are Interrogatory Nos. 12, 13, 14, 15, 18, and 24. The Parties still dispute whether the scope of these interrogatories is overly broad and if the subject is appropriate for an interrogatory. However, Peloton counsel has agreed to further consider how to amend these interrogatory responses to address Flexport's stated concerns.

Flexport's Status Report:

In good faith and in compliance with the Order of March 26, 2025, Flexport engaged in three (3) conferences with counsels for Peloton in order to narrow the issues before the Court as presented in the Parties' respective motions to compel. Flexport reports that the conferences were productive and the remaining issues to be decided are narrow.

At least, Flexport was under the impression that the issues were resolved when the last call on April 3, 2025 ended. The next morning, the undersigned received a "summary" of the calls from counsel for Peloton, which did not accurately reflect the parties' discussions.

What is clear, however, is that, generally, most of the issues have been resolved, in theory. Flexport enumerates below the resolutions and what remains to be resolved.

1. Peloton's Supplemental Responses to Interrogatories.

Peloton has agreed to provide supplemental response. The issue remains, however, as to when Peloton will provide supplemental responses.

To be clear, the March 26, 2025 Order specifically required Peloton to provide supplemental responses to Flexport's Interrogatories "with references to Bates numbers for documents responsive to the interrogatories." To date, Peloton has not done so. In fact, Peloton has refused to advise as to when these will be received other than to say – repeatedly – "sometime soon". This does not help. This is also compounded by the fact that – after the Order was entered, when Peloton's corporate designee was questioned as to the specific documents identified in the interrogatories, she repeatedly and robotically testified "we produced an extensive list of documents within our discovery you can reference discovery production to find those."

As such, the only outstanding issue here is when Peloton will provide the responses.

2. Peloton's Objections to Interrogatories.

Another general issue raised in Flexport's Motion is that Peloton asserted a litany of frivolous, boilerplate objections and then responded to each with "subject to such objections". At the hearing on Flexport's Motion for Protective Order, however, the Administrative Law Judge made clear that the boilerplate objections and responses which were "subject to" such objections are disfavored. In fact, the ALJ stated that, even when she issues an order to compel, it keeps happening. As it seems to be here.

The undersigned asked counsel for Peloton to withdraw the objections and the "subject to" response. Counsel's responses was only that the Order did not require Peloton to do so. As such, there remains the outstanding issue as to Peloton's objections, which the undersigned maintains was resolved at the hearing.

3. Flexport's Responses.

Notably, at the time of this submission, Flexport is not in receipt of what Peloton intends to say about Flexport's position regarding its discovery responses, despite repeated requests for same. As such, Flexport will simply set forth its position here.

Flexport has provided or shall provide each and every document in its possession which the Order mandates be produced.

The undersigned requested that the production be made simultaneously with Peloton's supplemental responses – today. However, Peloton's counsel refused, stating simply that Flexport (not Peloton) must immediately provide same. In good faith, Peloton is uploading the documents today and has agreed to further supplement same next week. Flexport has also agreed to look into the existence and production of additional documents – which were not part of the motion to compel and which were only raised at the meet and confer yesterday.

To be clear, Flexport has, or by next week shall, have complied with its discovery obligations

Dated: April 4, 2025

Respectfully Submitted,

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